

 Department of Children & Family Services <i>Building a Stronger Louisiana</i>	Division/Section	4-Economic Stability (ES)
	Chapter No./Name	04 – Family Assistance Manual (FAM)
	Part No./Name	P-Strategies to Empower People (STEP) Program
	Section No./Name	P-700-STEP Supportive Services
	Document No./Name	P-770 STEP Recovery
	Effective Date	March 1, 2012

I. STATEMENT OF POLICY

The Department, in compliance with federal and state regulations, is mandated to collect overpayments and ineligible payments according to departmental policies and procedures.

II. PROCEDURES

All overpayments for supportive services and work activity placements must be promptly reported to the Fraud and Recovery Unit on a form STEP 20 except when the claim is a non-fraud claim of less than \$100. This includes overpayments to both participants and providers.

All expenditures made on a participant's behalf during a period of ineligibility must also be reported to the Fraud and Recovery Unit.

Recovery action will be pursued by the Fraud and Recovery Unit in accordance with policy found in Chapter 16, the Fraud and Recovery Manual. The information on the form provides required case documentation on the acknowledgment, circumstances and explanation of the overpayment.

Ineligible payments or overpayments resulting from error or misrepresentation on the part of a provider will be recouped from the provider. Ineligible payments or overpayments resulting from error or misrepresentation on the part of the participant will be recouped from the participant.

Other supportive services overpayments can only be recouped from other supportive services benefits. Any recovery of other supportive services overpayments may be made from cash benefit payments only upon a voluntary request of the recipient family.

Voluntary return of benefits by the participant or provider to avoid an overpayment should be handled as follows:

- If the check has not been cashed, it should be voided and forwarded to DCFS Division of Fiscal Services Payment Management for processing. A cover memo should accompany the voided check to explain the circumstances surrounding the return.
- If the check has been cashed, and the repayment from the participant or provider is in the form of a personal check, business check or money order, then the appropriate form must be completed describing the circumstances. The check or money order, made payable to the Department of Children and Family Services, should be attached to the form [STEP 20](#) and forwarded to the Fraud and Recovery Unit. This procedure must be followed no matter how promptly repayment was made and no matter the reason or circumstances.
- If the money rendered to the client is not used as intended then a recovery of the funds from the client will be initiated.

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- If ineligible funds are issued on a Stored Value Card or in the client's bank account, the client should access the funds and submit a money order made payable to the Department of Children and Family Services. The money order should be attached to form [STEP 20](#) and forwarded to the Fraud and Recovery Unit.

III. FORMS AND INSTRUCTIONS

[STEP 020 Form/Instructions Claim Determination Report](#)

IV. REFERENCES

P.L. 104-193